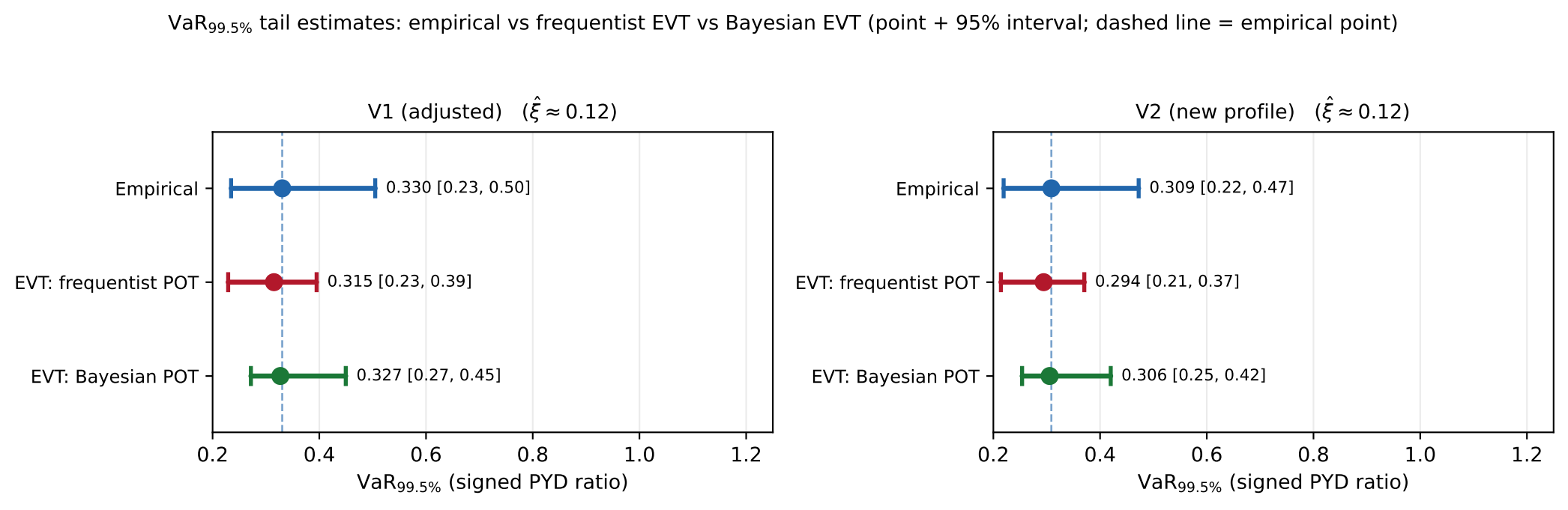
VaR99.5% tail estimates: empirical vs frequentist EVT vs Bayesian EVT (point + 95% interval; dashed line = empirical point)
V1 (adjusted) ($\hat{\xi} \approx 0.12$)
Empirical
EVT: frequentist POT
EVT: Bayesian POT
0.330 [0.23, 0.50]
0.315 [0.23, 0.39]
0.327 [0.27, 0.45]
0.2
0.4
0.6
0.8
1.0
1.2
VaR99.5% (signed PYD ratio)
V2 (new profile) ($\hat{\xi} \approx 0.12$)
Empirical
EVT: frequentist POT
EVT: Bayesian POT
0.309 [0.22, 0.47]
0.294 [0.21, 0.37]
0.306 [0.25, 0.42]
0.2
0.4
0.6
0.8
1.0
1.2
VaR99.5% (signed PYD ratio)